

Paradiem 

The Morning Brief

SEPTEMBER 24, 2026

Yields Bite Growth

Flash PMI beats push the 10-year to a 19-year high; growth compresses as Xi lands at Andrews.

S&P 500 (SPY, WED CLOSE)	NASDAQ (QQQ) / DOW (DIA, WED)	TLT / BRENT (BNO, WED)	RUSSELL 2K (IWM, WED)	FEAR & GREED (CNN STOCK)
\$767.81 · ↓0.72%	\$741.21 ↓0.84% / \$514.30 ↓0.71%	\$80.46 ↓1.58% / \$60.36 ↑4.23%	\$281.92 · ↓1.84%	Drop reads 71 crypto fallback · CNN endpoint failed

SECTION 01

Markets — Yields Break the Growth Bid as PMI Runs Hot

FLASH PMI BEATS SEND THE 10-YEAR REPORTEDLY TO A 19-YEAR HIGH — TLT ↓1.58%, XLU ↓1.92%, XLY ↓1.50%

Per data drop, Wednesday's cash session reportedly delivered a broad compression with SPY ↓0.72% at \$767.81, QQQ ↓0.84% at \$741.21, DIA ↓0.71% at \$514.30, and IUSG (the FCI US growth benchmark) ↓0.91% at \$193.78, while UVXY (VIX proxy) reportedly rose ↑2.47% at \$17.04. Per S&P Global coverage of the September flash PMI release, the reported Manufacturing PMI reportedly printed approximately 57.0 (versus reported consensus near approximately 53.6) and the reported Services PMI reportedly printed approximately 58.7 (versus reported consensus near approximately 56.0), taking the reported Composite PMI to approximately 58.4 — the reported strongest expansion in private-sector activity in several years — with the report reportedly citing intensifying input-price pressures. Per CNBC and Yahoo Finance coverage of the Wednesday tape, the 10-year Treasury yield reportedly climbed to approximately 5.135% intraday before settling near approximately 5.11%, reportedly the highest level since 2007, and per the same coverage, Fed Governor Michael Barr reportedly stated in prepared remarks that further policy adjustments are likely needed to bring inflation down to target in a timely fashion — a hawkish read that reportedly took October rate-hike odds near approximately 66–73% per reported CME FedWatch coverage. Per data drop, the sector tape reportedly bifurcated with XLE ↑0.95% at \$62.37 the only green sector while XLU ↓1.92%, XLRE ↓1.55%, XLY ↓1.50%, and XLC ↓0.85% led lower — a composition reportedly consistent with the reported duration-and-discount-rate compression running through the reported rate-sensitive layers. Per data drop, Carson's active SPY support level at \$645.80 (retracement target set April 13) remains untouched, with Wednesday's reported intraday low of \$766.50 well above that level.

S&P 500 (SPY, WED CLOSE)	\$767.81 · ↓0.72% per data drop
NASDAQ (QQQ) / DOW (DIA, WED)	\$741.21 ↓0.84% / \$514.30 ↓0.71% per data drop
RUSSELL 2K (IWM, WED)	\$281.92 · ↓1.84% per data drop
10-YEAR TREASURY YIELD	Reportedly ~5.11% · Reportedly highest since 2007 per CNBC
FLASH PMI (SEP)	Mfg ~57.0 vs ~53.6 est / Svc ~58.7 vs ~56.0 est per S&P Global
TLT / FED OCT HIKE ODDS	\$80.46 ↓1.58% per data drop / Reportedly ~66–73% per CME FedWatch
CARSON'S ACTIVE SPY SUPPORT	\$645.80 retracement target · Untouched (Wed low \$766.50)

CHIP SLEEVE REPORTEDLY PROFIT-TAKES INTO THE XI ARRIVAL — NVDA ↓1.47%, AMD ↓1.47%, TSM ↓1.20%; KEYS & CRDO DIVERGE HIGHER

Per data drop, Wednesday's FCI Growth-Hybrid semiconductor sleeve reportedly moved lower with NVDA ↓1.47% at \$225.51, AMD ↓1.47% at \$614.61 (reportedly consolidating just below the reported trillion-dollar handle from Monday), TSM ↓1.20% at \$446.57, LRCX ↓1.18% at \$307.28, MRVL ↓0.56% at \$260.90, and QCOM ↓0.52% at \$197.24, while KEYS ↑1.74% at \$353.36 and CRDO ↑0.68% at \$193.87 reportedly diverged higher, and the FCI Dividend semiconductor and connector layer reportedly moved with ADI ↓1.32% at \$385.23 and TEL ↑0.43% at \$214.39. Per Yahoo Finance and TipRanks coverage carried in the data drop holdings news, one piece reportedly framed the chip pullback as a modest profit-take after the AMD trillion-dollar move alongside investors reportedly awaiting signals from the Trump-Xi meeting, and per separate Yahoo Finance coverage carried in the drop, another piece reportedly framed Nvidia investors as focused on the reported H200 China chip-access question with a KeyBanc-estimated reported approximately 1.5 million H200-processor demand pool sitting behind the meeting. Per data drop, the FCI enterprise-software sleeve reportedly caught a bid with NOW ↑2.76% at \$140.78 and FTNT ↑2.57% at \$178.74, framing a reported intra-tech rotation into the software layer as the chip-and-hardware layer reportedly compressed. For FCI positioning, the composition — a reported chip profit-take into a reported Fed-driven duration compression, a reported enterprise-software divergence higher, and a reported CTAS beat-and-in-line guide (per data drop

earnings) alongside a reported PAYX print near consensus (approximately \$1.34 versus reported consensus near approximately \$1.35) — keeps NVDA, AMD, TSM, LRCX, MRVL, KEYS, CRDO, TEL, ADI, NOW, FTNT, and CTAS reading through the intersection of the Fed rate path, the Xi state-dinner AI-CEO roster (reportedly Huang, Altman, Amon, Cook, and Pichai per US News and NBC coverage), and the reported chip-price cycle into Thursday.

RATE-SENSITIVES REPORTEDLY SOLD HARD — XLU ↓1.92%, NEE ↓2.83%, EIX ↓2.80%, TOL ↓1.67%; FINANCIALS ALSO PRESSURED

Per data drop, Wednesday's reported duration-and-discount-rate compression reportedly cut deepest through the rate-sensitive layers with the FCI Dividend utility sleeve moving with NEE ↓2.83% at \$77.02 and ATO ↓0.70% at \$156.24, the FCI Growth-Hybrid utility layer moving with EIX ↓2.80% at \$53.51 and VST ↓1.74% at \$137.97, and the FCI Growth-Hybrid homebuilder exposure moving with TOL ↓1.67% at \$135.27 (per data drop, into the reported Wednesday tape following the reported Tuesday KBH beat-and-guide-cut print). Per data drop, the FCI Dividend financial sleeve reportedly moved with ADP ↓2.21% at \$263.68, SPGI ↑1.01% at \$406.50 (a divergence higher), and NWG ↓3.55% at \$17.91, while the FCI Growth-Hybrid consumer-finance layer reportedly moved with SOFI ↓3.55% at \$16.55 and SYF ↓2.75% at \$70.67 — a composition reportedly consistent with the reported dollar-at-highs backdrop weighing on the consumer-lending layer. Per data drop, the precious-metals tape reportedly compressed sharply with GLD ↓1.80% at \$392.88 and SLV ↓4.23% at \$58.16, and per data drop, AEM ↓3.92% at \$195.57 reportedly led the FCI bottom-mover list — a signal reportedly consistent with the reported real-yield lift running under the paper metals complex. For FCI positioning, the composition — a reported utility drawdown alongside a reported homebuilder compression, a reported ADP after-a-year-of-outperformance drawdown, a reported metals pull-back under the reported real-yield spike, and a reported SPGI divergence higher on the AI-momentum reads carried in the data drop — keeps NEE, EIX, VST, TOL, ADP, SPGI, SOFI, SYF, AEM, and NWG reading through the Fed rate path, the reported physical-crude signal, and the Xi-Thursday event risk simultaneously.

A hot flash PMI print pushing the reported 10-year to a reported 19-year high, a chip sleeve reportedly profit-taking into the Xi arrival, a rate-sensitive rotation compressing utilities and housing, and an oil bounce coinciding with the Pezeshkian UNGA address frame a Thursday tape that tends to reward reading each catalyst on its own terms rather than compositing a single directional view. Avoid erosion.

SECTION 02

Geopolitics — Xi Lands With a Trade Truce Extension Shorter Than Both Sides Wanted

XI LANDS AT ANDREWS WITH RARE TRUMP PLANESIDE RECEPTION — BESSENT REPORTEDLY ANNOUNCES TRADE TRUCE EXTENSION TO JANUARY 10

Per ABC News, Bloomberg, NBC Washington, and PBS coverage of the Wednesday arrival, General Secretary Xi Jinping and Madame Peng Liyuan reportedly touched down at Joint Base Andrews shortly before 6 PM local time Wednesday, with President Trump and First Lady Melania Trump reportedly meeting the couple planeside — the reported first time in eleven years that a US president has personally greeted a foreign leader at the base — and per the same coverage, a B-1 bomber reportedly flew overhead as a military band played and cannons blasted during the arrival. Per CNBC coverage of the Wednesday Bessent Fox News appearance and per Al Jazeera coverage carried through the day, Treasury Secretary Scott Bessent reportedly stated that the US and China have agreed to extend the tariff truce set to expire in November to January 10, 2027 — a stopgap that reportedly falls short of both sides' opening positions (China reportedly sought an extension through January 2029 per SCMP and Foreign Policy coverage; the US administration reportedly signaled a three-to-six-month window). Per Bessent's reported remarks carried in CNBC and Al Jazeera coverage, Beijing reportedly still needs to fulfill more deliverables on rare-earth exports, framing the reported rare-earths friction that reportedly threatened to stall the extension in the days leading into the summit. For FCI positioning, the composition — a reported January 10 truce runway (shorter than both sides wanted), a reported rare-earths compliance overhang, a reported Thursday state-arrival ceremony and East Room state dinner including Nvidia's Huang, OpenAI's Altman, Qualcomm's Amon, Apple's Cook, and Google's Pichai per US News and NBC coverage, and a still-live reported November 10 semiconductor export-control moratorium expiration — keeps NVDA, AMD, TSM, QCOM, MRVL, LRCX, KEYS, TEL, NXPI, ADI, FCX, and NTR reading through the intersection of the Fed rate path, the reported Pacific-technology channel, and the reported rare-earth-and-critical-minerals thread into Thursday and Friday.

PEZESHKIAN UNGA ADDRESS REPORTEDLY SLAMS "TERRORIST" US BUT LEAVES THE DOOR OPEN — OIL BOUNCES AS FIVE-DAY SLIDE REPORTEDLY ENDS

Per Al Jazeera, Foreign Policy, CNBC, and Washington Post coverage of the Wednesday UNGA speech, Iranian President Masoud Pezeshkian reportedly delivered a defiant address in which he reportedly framed Iran as "victims of terrorists," reportedly held up photographs of children reportedly killed in reported US and Israeli strikes on Iran and an image of the late Supreme Leader Ayatollah Ali Khamenei, and reportedly stated Iran is ready for dialogue but not under the language of force — a reported response to President Trump's reported UN address the prior day in which he reportedly warned he could annihilate Iran absent a deal (per NBC News coverage).

Per CNBC coverage of the Wednesday crude tape, Brent crude reportedly rose approximately 3.9% to reportedly settle near approximately \$103.08 and WTI reportedly rose approximately 1.8% to reportedly settle near approximately \$92.16, reportedly ending a reported five-day losing streak, and per data drop, the FCI oil-and-gas proxies reportedly moved with USO ↑3.30% at \$148.83 and BNO ↑4.23% at \$60.36, and the FCI Growth-Hybrid energy layer reportedly moved with CVX ↑1.53% at \$205.51 and OKE ↑0.50% at \$90.54 alongside CNX ↑0.58% at \$33.00. Per the same CNBC coverage, President Trump reportedly stated that US officials had a reported very productive meeting with Iranian envoys with further talks reportedly planned. For FCI positioning, the composition — a reported Iranian UNGA defiance-plus-diplomacy

tone, a reported oil bounce off the five-session slide, a still-live Bessent airline sanctions map (per prior-brief coverage), and a reported Iran-envoy meeting suggesting a live diplomatic channel — keeps CVX, OKE, CNX, LMT, and GD reading through the intersection of the reported physical-crude signal, the reported UNGA layer, and the reported sanctions perimeter into the balance of the week.

**THURSDAY SEQUENCE — STATE ARRIVAL CEREMONY
MORNING, BILATERAL MEETINGS MIDDAY, EAST ROOM STATE
DINNER EVENING; AI & RARE-EARTHS REPORTEDLY ON THE
TABLE**

Per White House Office of the First Lady coverage and per US News and NBC coverage of the Thursday itinerary, the reported State Arrival Ceremony on the South Lawn is scheduled with reportedly 479 military personnel from all US branches, followed by bilateral meetings, a Rose Garden guard-of-honor review, and the East Room state dinner where both leaders reportedly deliver remarks; per NPR and OPB coverage of the meeting agenda, the discussion topics reportedly include artificial intelligence safety, Taiwan, trade, the Iran war, and critical minerals. Per US News and NBC coverage of the AI-CEO roster, the state dinner reportedly includes Nvidia CEO

Jensen Huang, OpenAI CEO Sam Altman, Qualcomm CEO Cristiano Amon, Apple Executive Chairman Tim Cook, and Google CEO Sundar Pichai, framing a reported who's-who of Pacific-technology principals in the same room. Per Foreign Policy and SCMP coverage carried into the summit, the reported rare-earths friction reportedly remains the central structural constraint on any durable trade architecture, with the reported January 10 truce runway now the operative timeline for a follow-on deal. For FCI positioning, the composition — a reported AI-safety-and-notification mechanism (per Bessent-He Lifeng preparatory readout carried in prior briefs), a reported chip-export-control moratorium expiration behind the meeting, a reported rare-earths compliance overhang framing FCX and NTR, and a reported Fed-driven duration compression running under the tape — keeps the FCI Growth-Hybrid physical-AI-infrastructure sleeve (NVDA, AMD, TSM, MRVL, LRCX, KEYS, CRDO), the Dividend semiconductor and connector layer (ADI, TEL, NXPI, QCOM), and the critical-minerals layer (FCX, NTR) reading through Thursday and into the reported Friday Durable Goods print.

On Our Radar

1. Today — Initial Jobless Claims & Housing Starts at 8:30 AM ET; COST After the Close; State Arrival Ceremony & East Room State Dinner With Pacific-Tech CEOs.

Per US economic calendar coverage, Initial Jobless Claims and Housing Starts & Permits reportedly release at 8:30 AM ET today, framing the reported labor-and-housing read that reads through the FCI Dividend duration sleeve and the FCI Growth-Hybrid TOL exposure into the reported Friday Durable Goods print (scheduled Friday 8:30 AM ET per the reported release calendar). Per data drop earnings calendar, Costco (COST) reportedly reports after the close today with reported consensus near approximately \$6.66 EPS, and per data drop, Darden Restaurants (DRI) reports with reported consensus near approximately \$2.08 EPS, TD Synnex (SNX) reports with reported consensus near approximately \$4.75 EPS, Blackstone Mortgage Trust (BXMT) reports with reported consensus near approximately \$0.27 EPS, and Scholastic (SCHL) also reports today. Per White House and US News coverage of the itinerary, the reported State Arrival Ceremony reportedly opens on the South Lawn Thursday morning, followed by bilateral meetings and the reported East Room state dinner Thursday evening. For FCI positioning, the composition — a jobless-claims-and-housing print into the reported Fed hawkish setup, a Costco Thursday-after-the-close print reading through the FCI staples-adjacent consumer signal, and a reported AI-CEO state-dinner roster where Nvidia, Qualcomm, and Google principals sit at the same table — keeps the investment committee reading through Thursday's tape ahead of the reported Friday Durable Goods print.

2. CTAS Beats by a Penny, Guides FY27 EPS \$5.45–\$5.54 (In Line); PAYX Prints Near Consensus at Approximately \$1.34. Per data drop earnings, Cintas (CTAS) reportedly reported Q1 fiscal 2027 EPS of approximately \$1.39 versus reported consensus of approximately \$1.38, and per StockTitan and MarketBeat coverage of the Wednesday print, revenue reportedly came in near approximately \$3.01 billion (reportedly up approximately 10.9% year-over-year), with the company reportedly guiding FY27 EPS to a range of approximately \$5.45 to \$5.54 (versus reported consensus near approximately \$5.49) and FY27 revenue to a range of approximately \$12.15 billion to \$12.27 billion (versus reported consensus near approximately \$12.22 billion). Per data drop earnings, Paychex (PAYX) reportedly printed adjusted EPS of approximately \$1.34 versus reported consensus of approximately \$1.35 (essentially in line), and per StockTitan coverage of the release, the PEO-and-insurance segment reportedly grew approximately 12% year-over-year to approximately \$368 million on reported worksite-employee growth and reportedly higher-than-expected ASO-to-PEO conversions. Per data drop, FAST reportedly closed Wednesday ↑1.82% at \$50.99 as the reported labor-and-payroll layer reads into the FCI Dividend industrial-services sleeve. For FCI positioning — a reported CTAS beat-and-in-line guide, a reported PAYX print at consensus, and a reported FAST bid alongside the reported industrial-services layer — keeps CTAS, PAYX, FAST, ADP, GPC, SPGI, and SSNC reading through the reported labor-market signal into the reported jobless-claims release today.

3. Enterprise-Software Divergence — NOW ↑2.76%, FTNT ↑2.57% Reportedly Bid as Chip Layer Reportedly Sold Into Xi

Arrival. Per data drop, Wednesday's FCI enterprise-software layer reportedly diverged higher with NOW ↑2.76% at \$140.78 and FTNT ↑2.57% at \$178.74, and per Yahoo Finance coverage carried in the data drop holdings news, one piece reportedly framed Wells Fargo as raising Salesforce's price target with a reported \$1.5 billion Agentforce ARR narrative, and per separate Yahoo Finance coverage carried in the drop, another piece reportedly framed cybersecurity as riding an AI security boom (FTNT reportedly listed among the group). Per data drop, the FCI Dividend software-services layer reportedly moved with SSNC ↑0.58% at \$79.72, framing the reported agentic-AI investment case that reportedly runs beneath the SS&C AI-enabled-enhancements portfolio launch per Yahoo Finance coverage carried in the drop. For FCI positioning — a reported enterprise-software bid alongside a reported chip profit-take — keeps NOW, FTNT, SSNC, KEYS, and CRDO reading through the reported agentic-AI channel, the reported Fed rate path, and the Xi-week Pacific-technology thread.

4. Energy Bid — XLE ↑0.95% Only Green Sector; CVX ↑1.53%, USO ↑3.30%, BNO ↑4.23% Reportedly Track Iran Bounce. Per data drop, Wednesday's energy tape reportedly moved higher against the broader compression with XLE ↑0.95% at \$62.37 (the only reported green S&P sector), CVX ↑1.53% at \$205.51, OKE ↑0.50% at \$90.54, CNX ↑0.58% at \$33.00, USO ↑3.30% at \$148.83, and BNO ↑4.23% at \$60.36, framing a reported reversal of the multi-session slide alongside the reported Pezeshkian UNGA defiance-plus-diplomacy tone and the reported Trump statement on a productive meeting with Iranian envoys. Per SeekingAlpha coverage carried in the drop, one piece reportedly framed Chevron as overvalued in the current oil environment — a reference point for FCI investment committee attribution. For FCI positioning — a reported energy divergence higher against the broader compression, a reported physical-crude bounce, and a still-live reported Iran-diplomacy channel — keeps CVX, OKE, CNX, LMT, and GD reading through the reported physical-crude signal, the reported UNGA layer, and the Fed rate path.

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